



Institute of  
Economic Affairs

## Quarterly Macroeconomic Debt Report

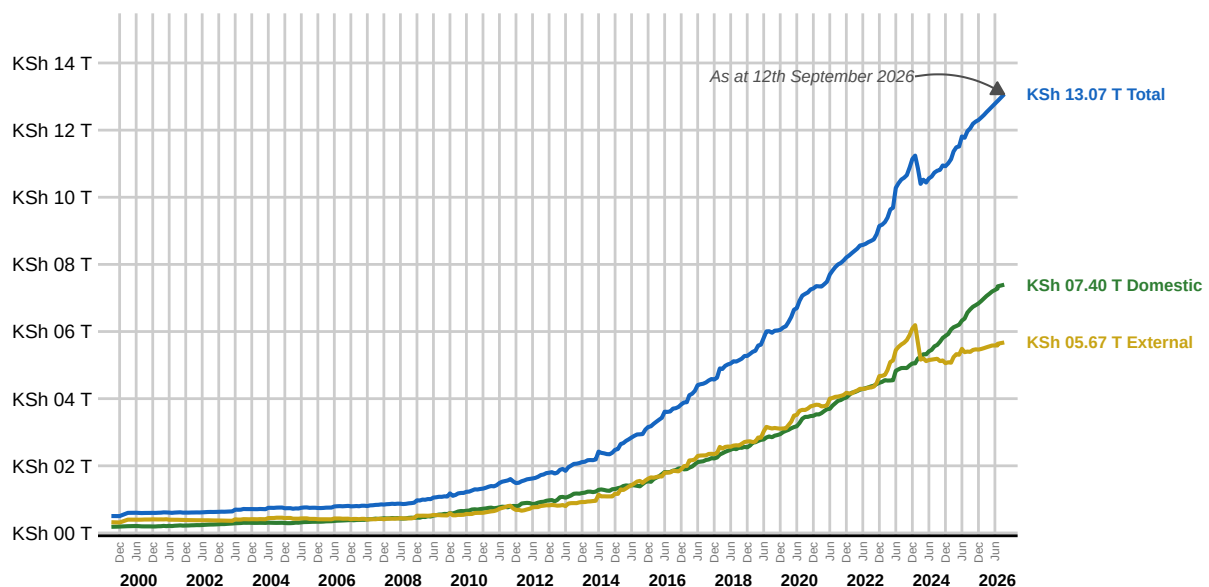
Q2 (April – June 2026)

*Published 12 September 2026*

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### Key Metrics at a Glance

**Figure 1. Trends in Kenya's Debt (Ksh Trillion)**



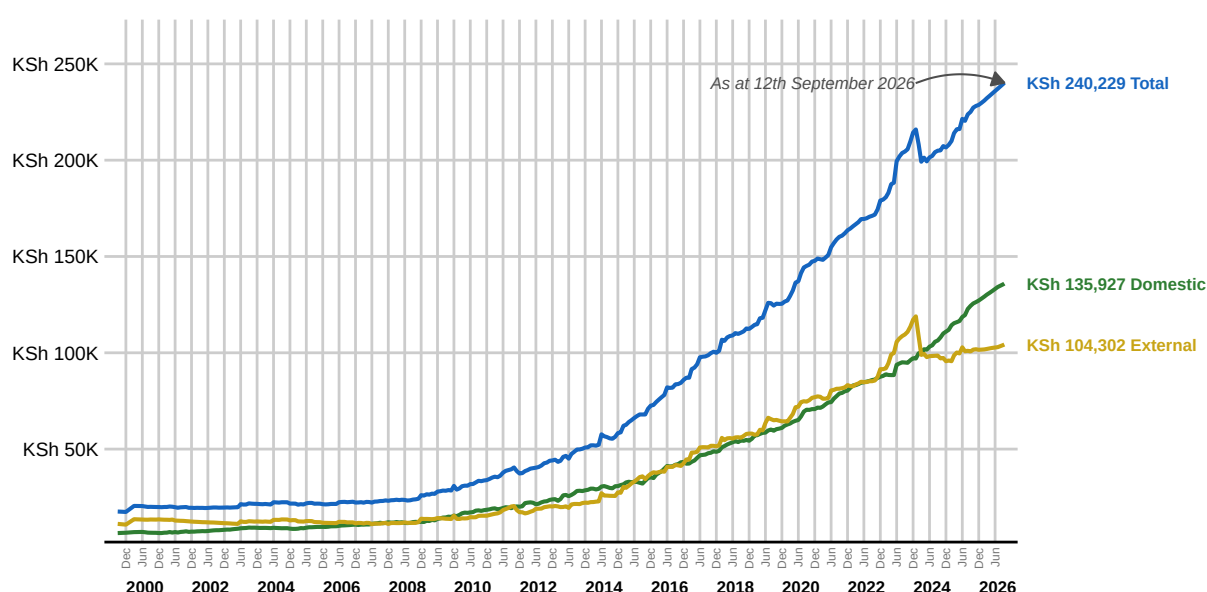
Source: Kenya Debt Counter live API ([Download Excel](#))

**As at 12th September 2026**, the public debt is estimated at Total debt: **KSh 13.07 trillion**, and is **3.5 times** what it was a decade ago without correcting for inflation. Approximately **KSh 2.79 billion** of new debt stock is added daily. The share composition of debt has evolved as follows:

Table 1: Composition of the public debt stock

| Metric       | Q1 Mar 2026               | Q2 Jun 2026               | 12th Sep 2026             |
|--------------|---------------------------|---------------------------|---------------------------|
| Domestic     | 56%                       | 57%                       | 57%                       |
| External     | 44%                       | 43%                       | 43%                       |
| <b>Total</b> | <b>KSh 12.62 T (100%)</b> | <b>KSh 12.87 T (100%)</b> | <b>KSh 13.07 T (100%)</b> |

**Figure 2. Trends in Debt per Capita (KSh)**



Source: Kenya Debt Counter live API ([Download Excel](#))

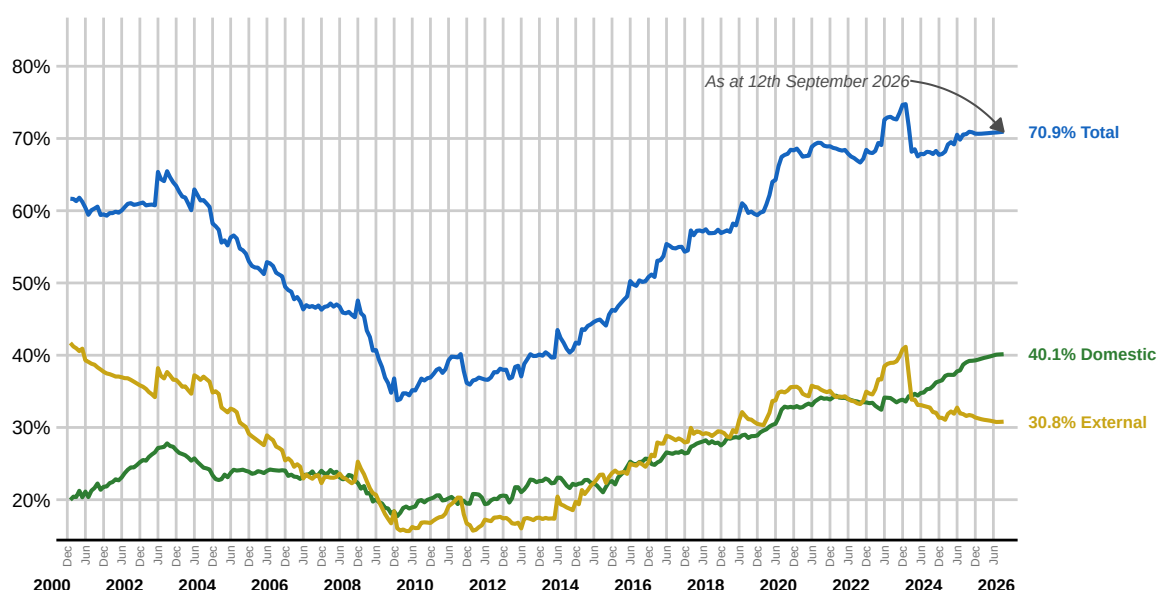
**As at 12th September 2026**, the public debt is estimated at **KSh 240,229 per person**, and is **2.9 times** what it was a decade ago without correcting for inflation. As per the trend, approximately **KSh 14,726** of new debt is added per person annually. The composition of debt per person has evolved as follows:

Table 2: Public debt per capita, by composition

| Metric       | Q1 Mar 2026        | Q2 Jun 2026        | 12th Sep 2026      |
|--------------|--------------------|--------------------|--------------------|
| Domestic     | KSh 131,081        | KSh 134,139        | KSh 135,927        |
| External     | KSh 102,273        | KSh 102,927        | KSh 104,302        |
| <b>Total</b> | <b>KSh 233,354</b> | <b>KSh 237,066</b> | <b>KSh 240,229</b> |

- **What it means in cash terms.** Clearing the debt stock today would require **KSh 240,229** from every man, woman and child in Kenya – roughly **KSh 960,917** for a household of four. A decade ago the same claim stood at KSh 83,634 a person.
- **The burden is compounding, not static.** Each person's share grows by about **KSh 14,726 a year** – close to **KSh 40 every day**, or **KSh 161 a day for a household of four** – before a single shilling of it is repaid.
- **Policy implication – the mix, not just the total.** Domestic borrowing accounts for **KSh 135,927** of each person's share against **KSh 104,302** external, and added **KSh 11,101** a person over the past year against **KSh 3,247** externally. Domestic debt is the more expensive of the two (see the Debt Sustainability Analysis), so the servicing cost carried by each Kenyan is rising faster than the burden itself – stabilising it depends on the borrowing mix and the primary balance, not on the headline total alone.

**Figure 3. Trends in the Public Debt (% of GDP)**



Source: Kenya Debt Counter live API ([Download Excel](#))

**As at 12th September 2026**, the public debt as a share of GDP now stands at **70.9%**, compared with **50.3%** a decade ago – a change of **20.7 percentage points**. The composition of debt relative to GDP has evolved as follows:

Table 3: Public debt as a share of GDP, by composition

| Metric       | Q1 Mar 2026  | Q2 Jun 2026  | 12th Sep 2026 |
|--------------|--------------|--------------|---------------|
| Domestic     | 39.7%        | 40.1%        | 40.1%         |
| External     | 31.0%        | 30.7%        | 30.8%         |
| <b>Total</b> | <b>70.7%</b> | <b>70.8%</b> | <b>70.9%</b>  |

- **The ratio is high and still climbing.** At **70.9% of GDP** – roughly **9 months** of national output – up **20.7 percentage points** over the decade. Figure 3 shows a sustained net increase in the debt stock; the sharp decline in early 2024 is on account of the bullet repayment of the Eurobond.
- **Domestic debt is rising faster, and the stock is not the whole claim.** Domestic borrowing equals **40.1% of GDP** against **30.8%** external. Pending bills of **KSh 0.8 trillion** (about 4.3% of GDP) sit outside this ratio – and servicing already costs **KSh 2.3 trillion**, **70.6% of it domestic**, the costlier class.
- **Growth is too slow to outrun the servicing bill.** Real growth of about **4.7%** cannot generate the revenue to cover **KSh 2.3 trillion** of debt service – over the past year debt grew **8.0%** against nominal GDP of **7.7%**. While borrowing outpaces output, servicing absorbs a rising share of revenue and crowds out development spending.

## Debt Sustainability Analysis

Figures 1 to 3 describe a debt stock growing in absolute terms, per person, and relative to the economy that must service it – reaching 70.9% of GDP. The National Treasury tests whether that burden remains sustainable through a Debt Sustainability Analysis (DSA); on the 2026 assessment, all four headline indicators have been breached.

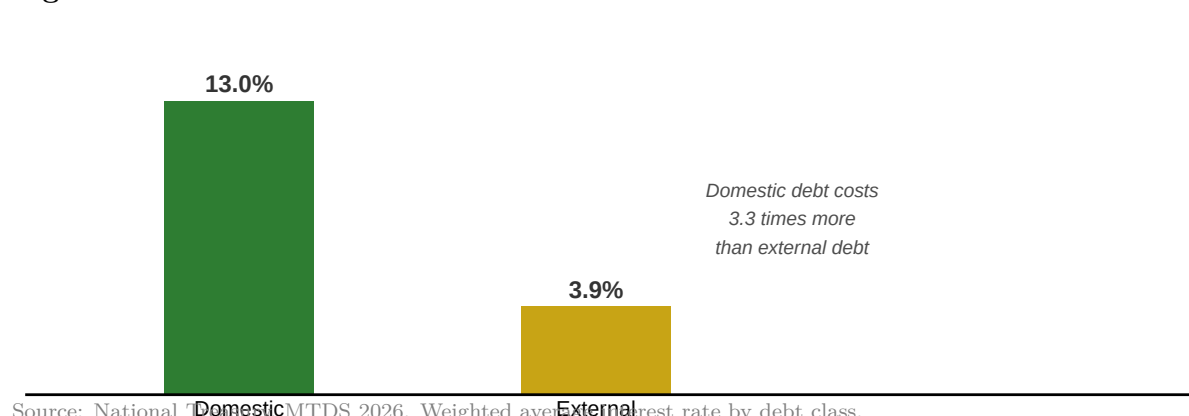
Table 4: Debt sustainability indicators against thresholds, 2026

| Indicator                       | Threshold | Latest Value | Excess   | Status          |
|---------------------------------|-----------|--------------|----------|-----------------|
| PV of Public Debt / GDP         | 55%       | 65.3%        | +10.3 pp | <b>Breached</b> |
| PV of External Debt / Exports   | 180%      | 182.2%       | +2.2 pp  | <b>Breached</b> |
| External Debt Service / Exports | 15%       | 22.5%        | +7.5 pp  | <b>Breached</b> |
| External Debt Service / Revenue | 18%       | 20.6%        | +2.6 pp  | <b>Breached</b> |

Source: National Treasury, Medium Term Debt Strategy (MTDS), 2026.

- The present value of public debt stands at **65.3% of GDP** against a **55%** benchmark – an overshoot of **10.3 percentage points**.
- All three external indicators are also breached, with **External Debt Service / Exports** furthest beyond its limit at **22.5%** against **15%**.
- Every breached measure except the first is assessed against exports or revenue rather than GDP, so the strain falls directly on the government's *capacity to pay*, not merely on the size of the stock.

Figure 4. The Cost of Domestic versus External Debt



Source: National Treasury, MTDS 2026. Weighted average interest rate by debt class.

- **The cause is composition.** Domestic borrowing carries a weighted average interest rate of **13.0%** against **3.9%** on external debt, so each shilling shifted from external to domestic financing costs roughly **3.3 times** as much to carry.
- **The consequence is the repayment burden.** Domestic debt is **56.6%** of the stock at the close of Q2 Jun 2026 but absorbs **70.6%** of the KSh 2.3 trillion debt service budget – a gap of **14.0 percentage points** between what is owed and what must be paid this year. External debt is the mirror image, at **43.4%** of the stock but **29.4%** of repayments.
- **Direction matters more than level.** A stock growing at the pace of Figure 1, increasingly financed domestically at 13.0%, lifts the servicing bill faster than the stock itself – which is why the debt service indicators are breached alongside the debt-to-GDP ratio. The MTDS projects the ratio will stay above benchmark until at least **2029**.

## Data Sources

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This report draws on publicly available data published by:

- **Central Bank of Kenya (CBK)** — monthly and quarterly public debt statistics, exchange rates
- **The National Treasury** — budget execution reports, fiscal outturns, cost of debt
- **Kenya National Bureau of Statistics (KNBS)** — GDP, national accounts, population estimates

Data is ingested via Google Sheets, processed in R, and rendered using Quarto with XeLaTeX. The report is regenerated automatically through GitHub Actions whenever the underlying data or analysis is updated.

### Definitions:

- *Domestic debt* — Treasury bills, Treasury bonds, and overdraft at the Central Bank
- *External debt* — bilateral, multilateral, and commercial external obligations
- *Debt-to-GDP* — total public debt as a percentage of nominal GDP
- *Debt per capita* — total public debt divided by estimated population